SENATE BILL 523
By Lamar

HOUSE BILL 838

By Miller

AN ACT to amend Tennessee Code Annotated, Title 4; Title 9; Title 67, Chapter 4 and Title 71, relative to supplemental income grants.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 71, Chapter 5, is amended by adding the following as a new part:

71-5-2701. Part definitions.

As used in this part:

(1) "Eligible household" means a household in which:

(A) At least three (3) members of the same family reside and for which a federal income tax return is filed in which at least one (1) member of the family is listed as a dependent;

(B) Each member of the household is a resident of this state; and

(C) The adjusted gross income attributable to the household does not exceed thirty thousand dollars ($30,000), not including a supplemental income grant received pursuant to this section; and

(2) "Family member" means a spouse, child, grandchild, parent, grandparent, sibling, niece, or nephew, whether by marriage, blood, or adoption.

71-5-2702. Pilot program for annual supplemental income grants – Amount of grants – Forms and rules – Supplemental income grant fund – Termination.

(a) The department of human services shall develop and implement a five-year pilot program in which eligible households are awarded an annual supplemental income grant beginning in 2026.

(b) The department of human services shall distribute supplemental income grants in the amount of five thousand dollars ($5,000) per year, which may be paid as a monthly or quarterly installment or in a lump sum, to each eligible household that submits a completed application and any supporting documents required by the department. An eligible household must reapply to receive a grant in a subsequent year.

(c) The department shall promulgate forms and rules necessary to effectuate this part. Rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, and the department shall make forms available on the department's website.

(d) The supplemental income grant pilot program established pursuant to this section is funded through the supplemental income grant fund established as a separate account in the general fund. Subject to the availability of revenue at the end of each fiscal year, the commissioner of finance and administration shall carry forward any amounts remaining in the fund. Moneys in the fund must be invested by the state treasurer pursuant to title 9, chapter 4, part 6, for the sole benefit of the fund. It is the legislative intent that the supplemental income grant fund established pursuant to this subsection (d) be funded from the following sources:

(1) From gifts or donations made by individuals or entities who pay the excise tax pursuant to the Excise Tax Law of 1999, compiled in title 67, chapter 4, part 20, or the franchise tax pursuant to the Franchise Tax Law of 1999, compiled in title 67, chapter 4, part 21;

(2) From federal grants or funds that may be used for such purposes; and

(3) From the reserve for revenue fluctuations, established in § 9-4-211.

(e) The pilot program terminates December 31, 2030, and any unallocated moneys remaining in the supplemental income grant fund must be deposited in the reserve for revenue fluctuations.

SECTION 2. Tennessee Code Annotated, Section 9-4-211, is amended by adding the following as a new subsection:

(e) Notwithstanding this section, amounts in the revenue fluctuation reserve must be made available to fund supplemental income grants in accordance with § 71-5-2702.

SECTION 3. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the code commission is requested to include the headings in any compilation or publication containing this act.

SECTION 4. This act takes effect upon becoming a law, the public welfare requiring it.